

this currency number in millions of dollars and demonstrate how fragile the new methods of this system require special care when being handled by newcomers.

The PayPal Buyer Exploit

An early scam in the Bitcoin evolution was the PayPal-Bitcoin scam where payments made over PayPal for purchasing Bitcoins were used to scam Bitcoin sellers. In India, it is possible a similar scam may arise so a brief review is necessary. A Bitcoin seller would be willing to accept payments in fiat currency online in exchange for a Bitcoin transfer using a service like PayPal. The deal would be made between buyer and seller with money escrowed in the PayPal account of the seller. The seller would then digitally send the Bitcoins to the buyers



PayPal and similar services can't protect users against the mechanism of Bitcoin scams. Don't use them to sell Bitcoins.

address. But after receiving it, the buyer would file a report with PayPal complaining that it had never received the Bitcoins. As per PayPal policy, since there is not traceable proof of transfer, the buyer will get the fiat currency back and the seller would have lost Bitcoins. Due to the infamy of this scam, the sale of Bitcoins using PayPal and similar services has seen a tremendous decline and virtually put an end to PayPal as a means of paying for Bitcoins.

Mining Hardware Scam

One of the key examples of Bitcoin scams comes from exploiting the desires of many people who want to become Bitcoin miners. Although a certain level of tech familiarity is necessary for anyone to venture into the world of Bitcoin mining, even the most careful people have been known to be scammed.

Although Bitcoin mining can be done even on a regular home computer it is not as profitable when compared to specialised mining rigs. These rigs are specifically designed to direct all processor computing power towards mining and employ high end processor chips and power supplies, which can cost tens of thousands of dollars. Given the promise of mining your own currency that is worth thousands per unit this seems like a viable deal for most miners but it is also the vulnerability exploited by scammers.